Amendment No. 1 to SB1359

White
Signature of Sponsor

AMEND Senate Bill No. 1359* House Bill No. 1344

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 49, Chapter 7, is amended by adding the following as a new part:

49-7-3101. Part definitions.

As used in this part:

(1) "Capital outlay funds" means any non-committed funds remaining from the moneys appropriated to institutions of higher education and directed to be transferred to the capital projects fund pursuant to chapter 1130, § 1 of the Public Acts of 2022;

(2) "Commissioner" means the commissioner of finance and administration;

(3) "Comptroller" means the comptroller of the treasury; and

(4) "Institution of higher education" or "institution" means a public four-year college or university located in this state.

49-7-3102. Conditions for redirecting capital outlay funds.

Subject to appropriation, an institution of higher education may request to redirect the institution's capital outlay funds for purposes other than those set out in chapter 1130, § 1 of the Public Acts of 2022. An institution shall submit a request to redirect capital outlay funds to the commissioner. The request to redirect capital outlay funds must include a summary demonstrating that the proposed expenditure is essential to fulfilling the institution's mission and that alternative funding sources are not available.

49-7-3103. Memorandum of understanding – Requirements for fund redirection.

(a) Upon receipt of a request to redirect capital outlay funds submitted under § 49-7-3102, the comptroller and the commissioner shall, in consultation with the institution and higher education commission, enter into a memorandum of understanding with the institution to:

(1) Outline the duties and responsibilities of the parties;

(2) Establish detailed and specific requirements that the institution must meet for its capital outlay funds to be redirected, which must be tailored to the specific institution, including periodic benchmarks for the incremental disbursement of capital outlay funds; and

(3) Other provisions that the parties deem necessary to effectuate the memorandum of understanding.

(b) The comptroller and the commissioner may, after consulting with the institution and higher education commission, amend the memorandum of understanding to ensure the requirements are relevant and aligned with state higher education goals and principles of financial stability.

49-7-3104. Notice to finance committee chairs – Fund disbursement.

(a) Subject to appropriation, the comptroller and the commissioner shall:

(1) Approve or deny the redirection of all or a portion of the capital outlay funds;

(2) Monitor and review an institution's progress in meeting the requirements and other provisions established in the memorandum of understanding entered into pursuant to § 49-7-3103; and

(3) Determine the appropriate amount of capital outlay funds to be redirected.

(b) If the comptroller and the commissioner approve redirection of a portion, but not all, of the capital outlay funds available, then the comptroller and the commissioner, after consulting with the institution and higher education commission, may amend the memorandum of understanding to establish additional requirements that the institution must meet before additional capital outlay funds are approved for redirection. Subsequent approvals and disbursements are contingent on the institution's compliance with requirements established in the memorandum of understanding in accordance with § 49-7-3103.

(c) If a redirection of capital outlay funds is approved pursuant to this part, then the commissioner shall submit written notice to the chair of the finance, ways and means committee of the senate and the committee of the house of representatives having jurisdiction over finance. The redirection of capital outlay funds must not be disbursed to the institution until the chairs have acknowledged in writing receipt of the written notice; provided, that a redirection of capital outlay notice must not be acknowledged by the chairs during a time that the general assembly is in regular, annual session until each committee has held a hearing on the proposed disbursement, or the committees have held a joint hearing. It is the legislative intent that the notice be acknowledged by the chairs within seven (7) business days of receipt, or in the case of a public hearing, within seven (7) business days from conclusion of the hearing.

(d) Upon acknowledgement by the chairs pursuant to subsection (c), the department of finance and administration shall disburse the redirected capital outlay funds to the institution.

(e) Failure of an institution to meet the requirements or other provisions established in the memorandum of understanding may result in a denial of capital outlay funds disbursement.

49-7-3105. Implementation and compliance.

Institutions requesting redirection of capital outlay funds pursuant to this part shall comply with requests for information from the comptroller or the commissioner that are necessary to determine the institution's compliance with the requirements or other provisions established in the memorandum of understanding entered into pursuant to § 49-7-3103.

49-7-3106. Joint quarterly reports.

The comptroller and the commissioner shall submit joint quarterly reports to the speaker of the senate, the speaker of the house of representatives, the chair of the finance, ways and means committee of the senate, the chair of the committee of the house of representatives having jurisdiction over finance, the chair of the education committee of the senate, and the chair of the committee of the house of representatives having jurisdiction over education for each institution that requests redirection of capital outlay funds pursuant to this part until all available capital outlay funds have been approved for redirection or the institution no longer seeks redirection of capital outlay funds. The report must include a brief synopsis of each request submitted pursuant to § 49-7-3102, the requirements and other provisions established in the memorandum of understanding entered into pursuant to § 49-7-3103, and a brief synopsis of the institution's progress in meeting the requirements and other provisions established in the memorandum of understanding.

SECTION 2. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 3. This act takes effect upon becoming a law, the public welfare requiring it.